

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –III) END TERM EXAMINATION, APRIL -2024****Security Analysis and Portfolio Management****[Time: 3 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Security Analysis and Portfolio Management**

CO	Course Outcome (CO)
CO1	Fundamental concepts of investment analysis, portfolio construction, and risk management.
CO2	It helps to develop the ability to assess and manage risks associated with diverse investment opportunities, understanding their impact on portfolio performance.
CO3	Familiarity with analytical tools like Modern Portfolio Theory (MPT), Capital Asset Pricing Model (CAPM), and performance evaluation metrics for effective portfolio analysis and optimization.

SECTION-A**Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

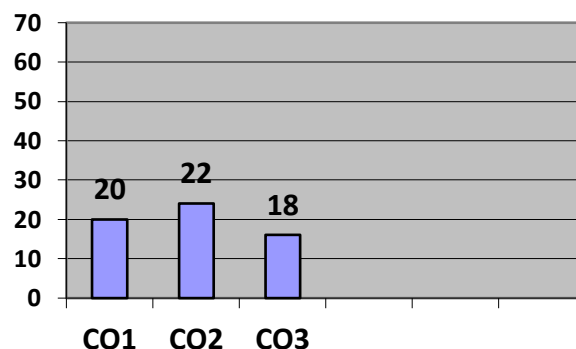
Q.1	Marks	CO
(A)	4	CO 1
(B)	4	CO 1
(C)	4	CO 1
(D)	4	CO 1
(E)	4	CO 1

SECTION-B**Attempt all questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO
2 (A)	6	CO 2
2 (A)	6	CO 2
2 (B)	6	CO 3
2 (B)	6	CO 3
3 (A)	6	CO 3
3 (A)	6	CO 3
3 (B)	6	CO 3
3 (B)	6	CO 3

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Q.4	Marks	CO
4 (A)	8	CO 2
4 (B)	8	CO 2

■ Course Outcome Wise Marks Distribution

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- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.
- (iv) Use of Calculator is allowed

SECTION-A**(Short Answer Type Questions, do not exceed 200 words)****Q.1. Attempt all parts of the following:****(5×4=20)**

- (a) What do you mean by the term Investment? How it is different from Speculation?
- (b) What do you mean by Financial and Non-Financial investments?
- (c) What do you mean by the following:
 - i. Open-Ended Mutual Funds
 - ii. Closed-Ended Mutual Funds
- (d) Explain the treatment of Interest Paid in Financial Statements assuming Interest Paid is non-operational in nature
- (e) Explain the concept of systematic risk?

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following****(4×6=24)****Q.2. (a) Explain absolute valuation as a technique of equity valuation.****OR**

- (a) Explain Porter's Five Force Model of Industry Analysis.
- (b)
 - i. Explain the concept of Portfolio Revision.
 - ii. Explain different types of portfolio revision strategies.

OR

- (b) Justify the statement: "Fama-French Three-factor Model is an extension of the Capital Asset Pricing Model (CAPM)."

Q.3. (a) Justify the statement: "Dow Theory as a form of technical analysis is based on some beliefs/tenets."**OR**

- (a) Justify the statement: "Efficient Market Hypothesis is made up of three progressively stronger forms."
- (b) Analyse the relationship between CAL and Efficient Frontier. Create graphs of CAL and Efficient Frontier for explanation purpose.

OR

- (b) Explain the process of portfolio management in your own words.

SECTION-C

Mr. A is working as an analyst in an equity research company. He has been given the task of analyzing and finding intrinsic equity value of XYZ Company. Following are the transactions of XYZ Company pertaining to FY23:

- Sales during the year was of Rs. 100 cr.
- Depreciation on Fixed Assets during the year was Rs. 5 Cr
- Other Operating Expenses (excluding depreciation) during the year were of Rs. 40 Cr.
- Interest Received (assumed to be of non-operational nature) during the year was Rs. 2 Cr
- Interest Expense (assumed to be of non-operational nature) during the year was Rs. 10 Cr.

Mr. A used the above transactions and created the Income Statement of XYZ Company for the FY23 for company analysis purpose. He then used EBT of FY23 as equivalent for Free Cash Flow to Equity (FCFE) and required rate of return as WACC for calculating the intrinsic value of equity. Mr. B, who is working in the same company, pointed out to Mr. A that he has not followed the correct approach in finding intrinsic value of equity.

Q.4. Attempt all parts of the following:**(2×8=16)**

- 4(a)** Assume yourself to be in the position of Mr. A and create the income statement of XYZ Company using the details provided in the case above (include calculation of Total Revenue, EBITDA, EBIT and PBT in the income statement) and calculate Operating Profit Margin, EBIT Margin, EBITDA Margin and PBT Margin for FY23. Show your calculations clearly
- 4(b)** Is Mr. B right in pointing out to Mr. A? Explain with proper reasons